

EEE 359

Engineering Project Management

Lecture 04

Stakeholder Management

Stakeholder

Stakeholders are **individuals, groups, or organizations** that can affect or be affected by a project. Almost any person or organization with an interest in a project can be termed a stakeholder.

The type and interest of a stakeholder are of great importance to a project manager since they enable him or her to use these interests to the greatest benefit of the project. The process of listing, classifying and assessing the influence of these stakeholders is termed **stakeholder analysis**.

Stakeholders can be divided into **two** main groups:

- Direct or primary
- Indirect or secondary

Direct Stakeholder

This group is made up, as the name implies, of all those directly associated with or involved in the planning, administration or execution of the project.

These include the client, project sponsor, project manager, members of the project team, technical and financial service providers, internal or external consultants, material and equipment suppliers, site personnel, contractors and subcontractors as well as end users.

In other words, people or organizations directly involved in all or some of the various phases of the project are called direct stakeholders.

Indirect Stakeholder

This group covers all those indirectly associated with the project, such as internal managers of the organization and support staff not directly involved in the project, including the HR department, accounts department, secretariat, senior management levels not directly responsible for the project and, last but not the least, the families of the project manager and team members.

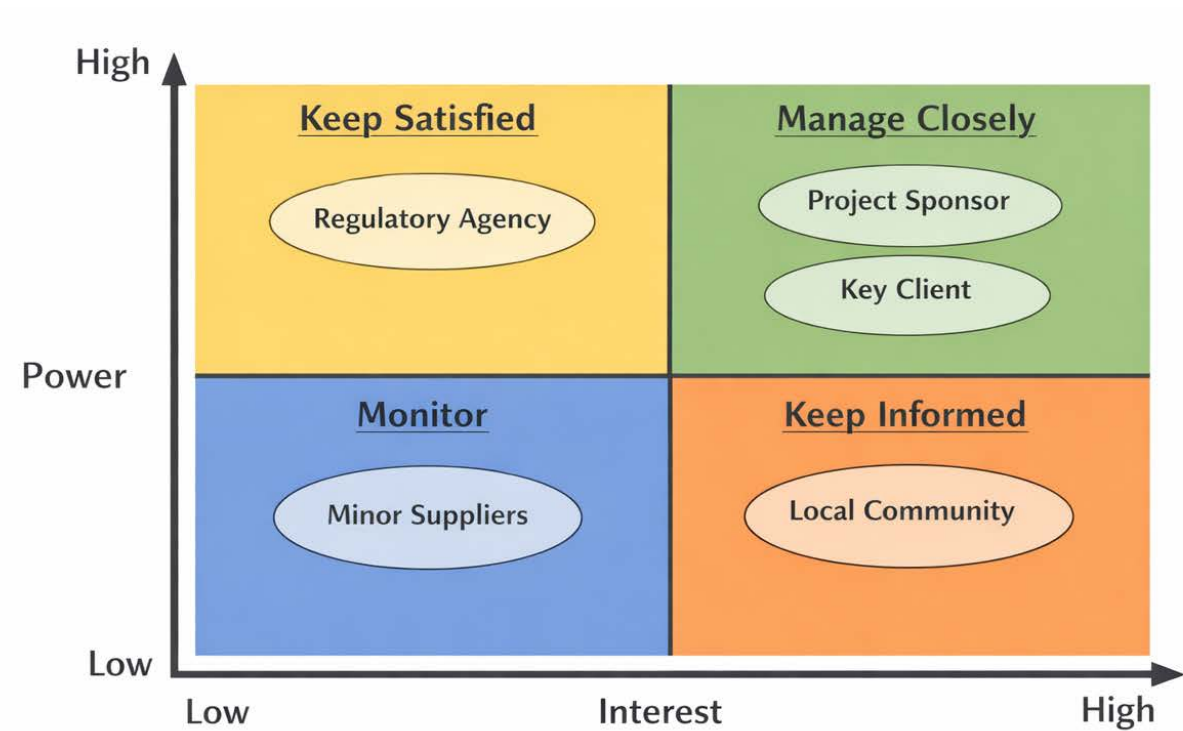
A subsection of indirect stakeholders are those representing the regulatory authorities, such as national and local government, public utilities, licensing and inspecting organizations, technical institutions, professional bodies and personal interest groups such as stockholders, labor unions and pressure groups.

Stakeholder Analysis

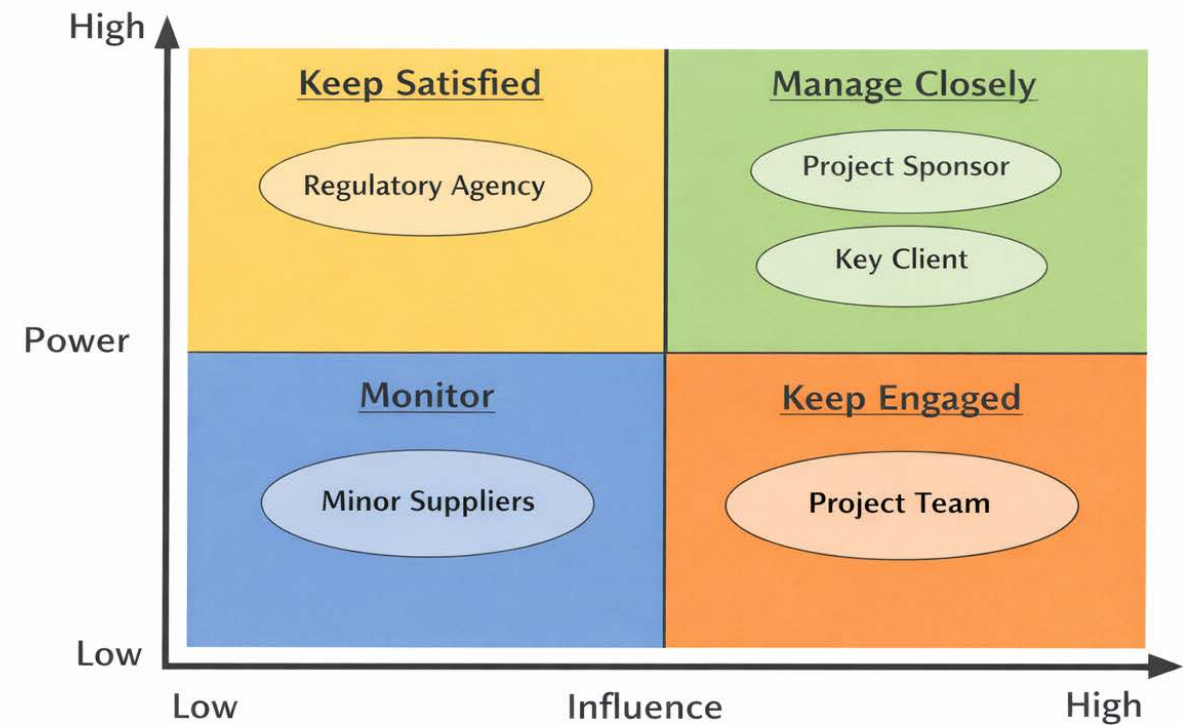
Stakeholder analysis is a method used to identify, understand, and manage the people or groups who are affected by a project or can influence its success. It helps project managers know who the stakeholders are, what they want, and how much power, interest or influence they have in the project.

- **Power/Interest Grid:** Grouping stakeholders based on their level of authority and concern about outcome of the project.
- **Power/Influence Grid:** Grouping stakeholders based on their level of authority and active involvement in the project.
- **Influence/Impact Grid:** Grouping of stakeholders based on their active involvement in the project and the ability to effect changes to the project.

Stakeholder Analysis



Power-Interest Grid with Stakeholders



Power-Influence Grid with Stakeholders

Business Case

Business Case

A business case is used to document the business justification for undertaking a project, based on the estimated costs (of development, implementation and incremental ongoing operations and maintenance costs) against the anticipated benefits to be gained and offset by any associated risks. It should outline how and when the anticipated benefits can be measured.

A business case includes the following:

- **Executive summary:** Highlights the key points in the business case, which should include important benefits and the return on investment.
- **Reasons:** Defines the reasons for undertaking the project and explains how the project will enable the achievement of corporate, program management or customer strategies and objectives.
- **Business options:** Analysis and reasoned recommendation for the base business options of *do nothing*, *do the minimum* or *do something*. '*Do nothing*' should always be the starting option to act as the basis for quantifying the other options. The difference between '*do nothing*' and '*do the minimum*' or '*do something*' is the benefit that the investment will buy.

Business Case

- **Expected benefits:** These result from the desired outcomes to be achieved through the use of the project outputs. The benefits are expressed in measurable terms against the situation as it exists prior to the project. Benefits should be both qualitative and quantitative.
- **Expected dis-benefits:** The impact of one or more outcomes of the project might be perceived as negative by one or more stakeholders. Dis-benefits are actual consequences of an activity, whereas a risk is uncertain and may never materialize. Dis-benefits are incorporated into the investment appraisal.
 - For example, a decision to merge two elements of an organization onto a new site may have benefits (e.g. better joint working), costs (e.g. expanding one of the two sites), dis-benefits (e.g. drop in productivity during the merger) and risks (e.g. worker injury).
- **Timescale:** The period over which the project will run (summary of the project plan) and the period over which the benefits will be realized.

Business Case

- **Costs:** A summary of the project costs (taken from the project plan), the ongoing operations and maintenance costs and their funding arrangements.
- **Investment appraisal:** Compares the aggregated benefits and dis-benefits with the project costs (extracted from the project plan) and ongoing incremental operations and maintenance costs. The analysis may use techniques such as cash-flow statement, return on investment, net present value, internal rate of return and payback period.
- **Major risks:** Gives a summary of the key risks associated with the project, together with the likely impact and mitigation plans should they occur.

Project Initiation Documentation (PID)

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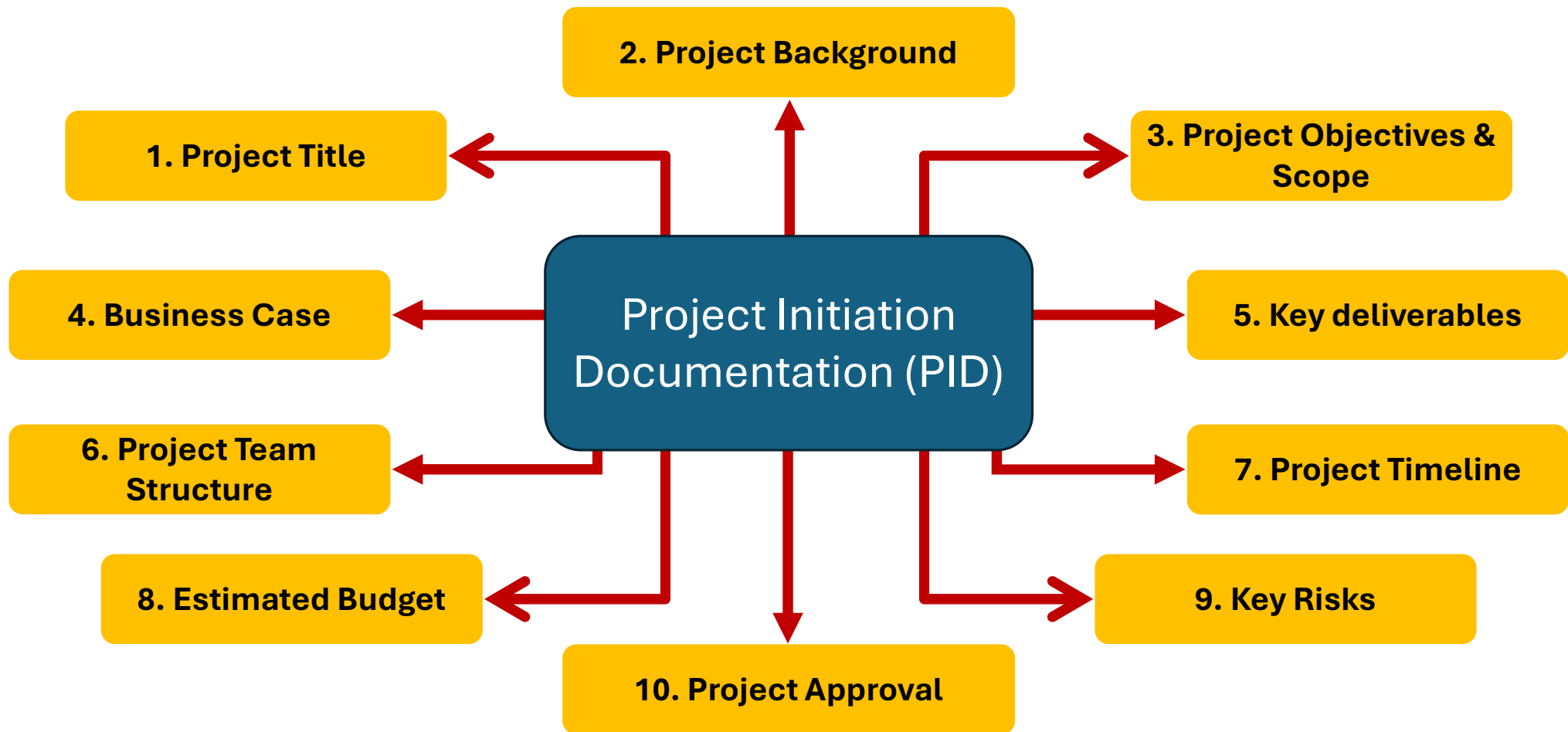
A Project Initiation Document (PID) is a comprehensive document that explains **what the project is, why it is needed, how it will be carried out, and who will be responsible.**

It ensures that all stakeholders clearly understand the project before work begins.

The three primary uses of the PID are to:

- **Project Authorization:** PID formally approves the project to begin. Once PID is approved by the senior management or the project sponsor, resources can be officially allocated.
- **Project Planning Baseline:** PID acts as the baseline reference for the project plan. Project managers use it to track progress and compare actual performance with the planned baseline.
- **Stakeholder Communication & Alignment:** PID ensures all stakeholders share the same understanding of the project. This reduces misunderstandings and keeps everyone aligned.

Project Initiation Documentation (PID)



Thanks